

HEADLINE JUDGMENT

Note: 3 Aug figures are intraday prints; the last confirmed close is Friday 31 Jul. The integrity check clears — the 31 Jul row has refreshed properly and differs materially from the snapshot published for it, so it is a true close. **Score HOLDS at 26/30 — all six channels unchanged (maritime 5, oil 2, US inflation 5, Treasury 5, political 4, escalation 5), but for the first time in the war the monitor carries a live downgrade candidate and a live upgrade candidate at the same time.** Two things happened over the weekend and they point in opposite directions. First, and larger for markets: the US session on Friday, which the Singapore morning snapshot had missed, was a violent bear steepener. **The 30Y closed at 5.2724%, the 10Y at 4.7347% and 5Y5Y forward inflation at 2.3597% — all three the highest readings of the war — and MOVE jumped 5.93 to 83.02, its highest since 19 May.** Stage-4 Threshold B is now satisfied on a third consecutive confirmed close, and the 30Y sits 22.24 bp above the 13 May auction stop, the widest margin of the war, going into a refunding week. Second, and larger for the narrative: **President Trump said on 2 Aug that he had cancelled a planned strike package he described as 'the biggest attack since World War II' and announced a new round of talks beginning Monday 3 Aug with Oman mediating.** Iran immediately rejected the framing — Tehran denies asking for the pause, denies any Hormuz deal, calling the claim 'a new lie', and says what is actually near-final is a bilateral Iran–Oman negotiation on a NEW corridor, not a reopening of the old one. This is the first genuinely live downgrade candidate the escalation channel has had since it maxed on 9 July, and it is deliberately not taken today: the talks had not convened at the time of this snapshot, no principal has confirmed terms, an LNG carrier loaded with Qatari cargo was struck mid-transit on 31 Jul, UKMTO logged an explosion beside a tanker off Khasab on 2 Aug, and the hysteresis rule exists precisely to stop a channel moving on an announcement. Crude, characteristically, moved first and moved hard: Brent front-month prints \$81.56 this morning, –\$6.37 on the day and the largest single-session decline since 25 May, with OPEC+ having approved a final +188k b/d for September on 2 Aug. So the tape is now split cleanly in two. The energy complex is trading the diplomacy; the bond market is trading the Federal Reserve, and it set three war records on Friday doing it. Sequencing 25 → 26 → 26.

1 · Live tape

Oil and natural gas — Bloomberg front-month / active

3 Aug 2026 readings are intraday prints from the Singapore morning. The 31 Jul row has refreshed and is a confirmed close; the integrity check clears. d/d is 3 Aug intraday vs the 31 Jul close; w/w is vs the 27 Jul close (five sheet-rows back); vs-pre-war is against the 27 Feb 2026 close. Restated continuation series (front-month CO2/CL2) in force. The ICE Brent September contract expired on 31 Jul, so the active COA now references a new contract and the front-month/active gap has widened again in the AM snapshot; the scored CO2 continuation series is unaffected.

Benchmark	Intraday 3 Aug	Δ d/d	Δ vs pre-war close (27 Feb)	BBG ticker
Brent front-month	\$81.56 /bbl (H 82.05 / L 79.83)	–\$6.37 (–\$4.31 w/w)	from \$72.48 (+12.5%) — a \$9.08/bbl premium, the narrowest of the war since 10 Jul. The largest single-session decline since 25 May, on Trump's cancelled strike package and the OPEC+ September increase; active COA prints \$84.12	CO2 Comdty (Close)
Brent · 31 Jul close (last confirmed)	\$87.93 /bbl	+\$1.05 vs the 30 Jul close \$86.88	\$7.07 below the \$95 trigger on a close basis ; \$15.45 above the \$72.48 anchor. July finished +20.6% from the 30 Jun close of \$72.92. Friday's close ran \$1.97 ABOVE my Friday-morning snapshot — the US session bid crude back up before the weekend's diplomacy took it apart.	CO2 Comdty (Close)
WTI front-month	\$78.42 /bbl	–\$3.07 (–\$1.83 w/w)	from \$67.02 (+17.0%) — the CL2 artifact against the active contract persists, CLA prints \$80.77 against CL2's \$78.42	CL2 Comdty (Close)
Brent–WTI spread	\$3.14 /bbl	narrowed \$3.30 on the day	\$3.35 on the active contracts (COA \$84.12 / CLA \$80.77). Brent has given back the Hormuz-specific premium faster than WTI, which is what a diplomacy trade looks like rather than a demand trade	derived
Henry Hub natural gas	\$2.766 /MMBtu	+\$0.019 (–\$0.022 w/w)	from \$3.06 (–9.7%) — US gas still BELOW pre-war after twenty-two weeks of war; the Hormuz/LNG-routing signature is intact and this remains a routing shock, not a global-energy shock	NGA Comdty (Close)
TTF Dutch gas (active)	€56.300 /MWh	–€2.771 (–€2.031 w/w)	from €31.23 (+80.3%) — the lowest since 16 Jul and €7.35 below the 24 Jul war record of €63.65. European gas is trading the same de-escalation headline as crude	TZTA Comdty (Close)
Japan/Asia LNG (31 Jul close — no 3 Aug print)	¥3,440	–¥87 vs the 30 Jul ¥3,527	from ¥1,669 (+106.1%) — the series turned lower on Friday for the first time in three sessions. No 3 Aug print; flagged, NOT carried forward. Hormuz still moves roughly a fifth of global LNG, and a Qatari-laden carrier was struck in transit on 31 Jul	JGLA Comdty (Close)

US Treasuries and inflation expectations — Bloomberg

3 Aug 2026 yields are intraday. The 31 Jul close is confirmed and is the reading on which every trigger and Stage-4 test below is judged. d/d is vs the 31 Jul close; w/w vs 27 Jul. Friday's US session repriced the long end hard after my morning snapshot — see the reconciliation in section 4 and the intraday caveat in section 9.

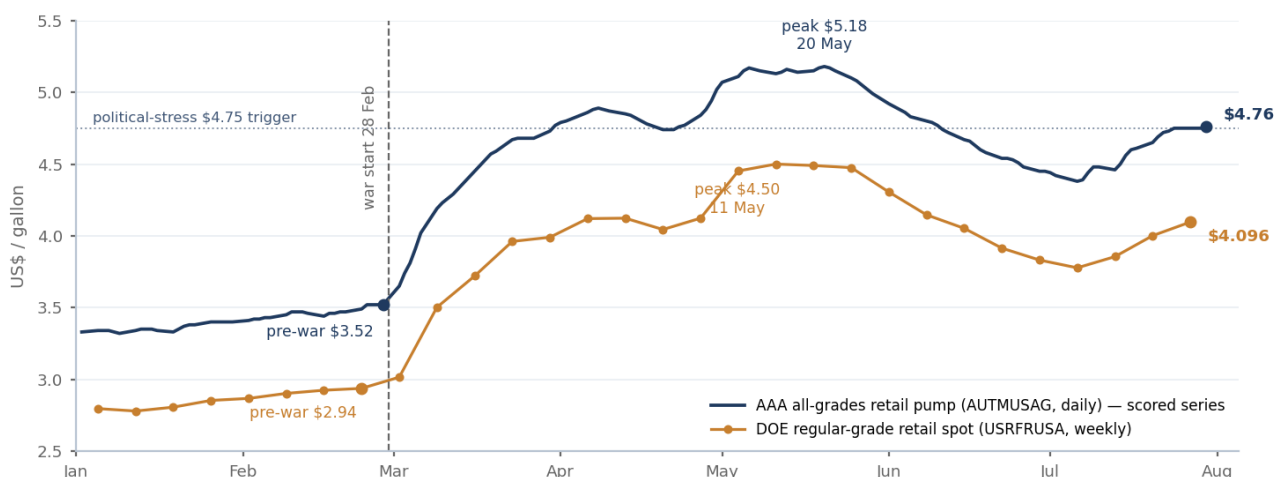
Tenor	Yield (%) — intraday 3 Aug	Δ d/d (bp)	Δ w/w (bp)	Δ vs pre-war (bp)	BBG ticker
2-year UST	4.25	–4.6	–7.7	+87.1 (from 3.37%) — the front end keeps grinding lower as the long end sells off	USGG2YR Index
5-year UST	4.40	–4.6	–0.1	+90.1 (from 3.50%)	USGG5YR Index

Tenor	Yield (%) — intraday 3 Aug	Δ d/d (bp)	Δ w/w (bp)	Δ vs pre-war (bp)	BBG ticker
10-year UST	4.69	−4.1	+4.5	+75.6 (from 3.94%) — the 31 Jul close of 4.7347% is the highest of the war ; this morning's 4.6939% is still 4.39 bp ABOVE the 4.65% Stage-4 leg, a third session clear of it	USGG10YR Index
30-year UST	5.24	−3.5	+10.1	+62.6 (from 4.61%) — the 31 Jul close of 5.2724% is the highest of the war and 22.24 bp above the 13 May auction stop, the widest margin recorded. This morning's 5.2370% remains 3.70 bp above the 5.20% Stage-4 leg and 23.70 bp above the 5.00% downgrade line	USGG30YR Index
2s10s spread	+44.6 bp	+0.7	+12.2	−11.0 (still flatter than pre-war) — but the steepest since 26 May and 20.4 bp off the 24 Jun war low of +24.25 bp. A bear steepener, four sessions running	USYC2Y10 Index
10Y breakeven inflation	2.279	−0.6	+7.6	+2.2 (from 2.2569%) — back above its pre-war anchor after touching it exactly on 31 Jul's snapshot; the Friday close of 2.2846% was the highest since 3 Jul	USGGBE10 Index
5Y5Y forward inflation	2.337	−2.3	+7.5	+19.5 (from 2.14%) — the 31 Jul close of 2.3597% is the highest of the war and a fourth consecutive close above the 2.30% trigger . The US-inflation channel, upgraded 4→5 on 31 Jul, is being confirmed rather than faded	USGG5Y5Y Index
SOFR (blank 31 Jul and 3 Aug)	3.65	—	no print	last printed 3.65 on 30 Jul; two consecutive blank sessions, flagged and NOT carried as fresh	SOFRRATE Index

Cross-asset stress and political-transmission gauges — Bloomberg

Gauge	Latest	As of	Δ vs pre-war	Interpretation
DXY	99.59	3 Aug intraday	+1.98 (from 97.61)	Down 0.32 this morning and down 1.94 on the week, the lowest since 16 June. The dollar has now fallen through a week in which the long end sold off 10 bp. That combination — yields up, currency down — is the signature of an inflation-credibility repricing rather than a haven bid, and it is the single most consistent cross-asset message of the past fortnight.
MOVE	83.02	31 Jul close (no 3 Aug print)	+9.64 (from 73.38)	Up 5.93 on Friday and the highest since 19 May . Rates volatility has now risen in three of the last four sessions and sits 8.02 pts ABOVE the 75 line that forms the second leg of the Treasury downgrade. It is still 46.98 pts below the 130 Stage-4 Threshold C and well under the 115.02 war high of 26 March, but the direction into a refunding week is the wrong one.
VIX	15.99	31 Jul close (no 3 Aug print)	−3.87 (from 19.86)	Down 1.10 to its lowest since 15 July. Equity volatility is now nearly 4 points BELOW pre-war while rates volatility is 9.64 points above it. The divergence is the whole story: equity investors are pricing a war that ends in a deal, bond investors are pricing a central bank that has lost the inflation argument.
AAA gasoline	\$4.76 /gal	30 Jul print (31 Jul–3 Aug blank)	+\$1.24 (from \$3.52, +35.2%)	Political-stress score reference. The 30 Jul print backfilled at \$4.76 — the FIRST print above the \$4.75 trigger, and the highest since 10 June — after four straight sessions exactly on the line. The series is then blank for 31 Jul and 3 Aug. One close above a trigger is not a sustained break; the channel needs a second consecutive close and the backfill has not arrived.
DOE gasoline	\$4.096 /gal	27 Jul weekly print	+\$1.16 (from ~\$2.94, +39.4%)	Corroboration only; the next weekly print is due 3 Aug US time and is not yet in the extract. EIA has crude stocks ~6% and gasoline stocks ~7% below the five-year average with refinery utilisation at 97.2%, so the binding constraint on the pump is refining capacity, not crude — a point Exxon and Chevron both made publicly on 1 Aug.

US retail gasoline — the two tracked series, 2026 year-to-date



AUTMUSAG (AAA all-grades retail pump, daily) is the political-stress score reference (pre-war \$3.52, peak \$5.18, latest confirmed print \$4.76 on 30 Jul; 31 Jul and 3 Aug blank); USRFRUSA (DOE regular-grade retail spot, weekly) is the complementary gauge (pre-war ~\$2.94, peak \$4.50, latest \$4.096 for the week of 27 Jul). The dotted line is the \$4.75 political→5 threshold. The scored series printed exactly \$4.75 on 24, 27, 28 and 29 Jul and then \$4.76 on 30 Jul — its first print through the line and its highest since 10 June — before going dark for two sessions. AAA's separately published regular-grade national average was \$4.098 on 30 Jul against \$4.091 a week earlier, so the corroborating series still shows a stall; on-highway diesel, by contrast, rose 17.9 cents in the week to 27 Jul.

Strait operational state

Indicator	Current reading	Source
Strait closed · day ~157	Closed since 28 Feb. Traffic remains at crisis levels and the two trackers are not directly comparable: Kpler counted 10 commodity vessels crossing on 31 Jul (7 out, 3 in, two with transponders disabled) after 4 on 30 Jul and 15 on 29 Jul, against a pre-war baseline above 100 a day; Windward, which counts all vessels, logged just 5 in the 24 hours to 31 Jul, three of them OFAC-designated, against roughly 140 a day pre-crisis, and recorded 66 vessels GPS-jammed in the Gulf that day. Lloyd's List Intelligence puts the week to 26 Jul at 39 total transits against 82 the week before, with 70% of traffic untraceable on AIS and inbound Gulf traffic down more than 90%. War-risk cover is quoted at 7.5–10% of hull value against 1–3% pre-escalation.	Kpler via The National / Windward / Lloyd's List Intelligence
TRUMP CANCELS A STRIKE PACKAGE AND ANNOUNCES TALKS FOR 3 AUGUST	On 2 Aug the President said he had called off what would have been 'the biggest attack since World War II' on Iran and announced a new round of negotiations beginning Monday 3 Aug, mediated by Oman with Saudi Arabia, the UAE and Qatar involved. He set no deadline. He had said on 1 Aug that 'the perimeters of a deal' included 'immediate, complete and total opening of the Hormuz Strait' and an end to Iran's nuclear threat. Saudi Crown Prince Mohammed bin Salman phoned Trump the same weekend urging de-escalation; Pakistani and Qatari intermediaries were reported as cautiously optimistic. No Tier 1 outlet reported a new CENTCOM or Israeli strike on Iran between 31 Jul and 3 Aug.	Al Jazeera / Bloomberg / France 24 / ABC News / CNN
Iran rejects the framing — and describes a different negotiation	Tehran denied asking Trump to hold off and denied that any Hormuz deal had been agreed, calling the claim 'a new lie.' Foreign Minister Araghchi said talks with OMAN are 'on the way to being finalised' and spokesman Baghaei said the two sides expect to agree a NEW route — neither the existing northern nor the southern corridor — respecting 'the sovereign rights of both sides.' That is a bilateral corridor-management negotiation, not the reopening the US described. President Pezeshkian on 3 Aug urged Washington to 'remain committed' to the June MoU. Al Jazeera assesses the strait as still effectively blocked.	Al Jazeera / Times of Israel / ABC News
The waterway stayed hostile through the diplomacy	The LNG carrier Gaslog Shanghai, laden with Qatari cargo, was struck by a projectile while transiting near the western entrance off Oman on 31 Jul; UKMTO reported no environmental impact. On 2 Aug UKMTO received a report of an explosion in close proximity to a tanker about 20 nautical miles north-east of Khasab. Kuwait's defence ministry said on 31 Jul it intercepted hostile drones over Kuwaiti territory, with Iran claiming it had targeted Ahmad al-Jaber Air Base. The IRGC claimed on 31 Jul to have stopped two US-escorted tankers in the strait (Tier 3, no Tier 1 corroboration).	Bloomberg / UKMTO / Al Jazeera / CBS News / IRNA-Tasnim (Tier 3)
OPEC+ delivers September barrels; energy infrastructure unchanged	Eight OPEC+ producers agreed on 2 Aug to raise September quotas by 188,000 b/d, completing the rollback of the 1.65 mb/d voluntary tranche. A fourth-quarter pause was briefed to Reuters by sources but was NOT written into the communiqué; the next meetings are 6 Sep and 4 Oct, and the JMMC used the occasion to stress 'safeguarding international maritime shipping lanes.' The physical picture is unchanged from Friday: Aramco's 400k b/d Jizan complex stays offline to about mid-August, satellite imagery still shows burn scars on four of six Abqaiq spheroids with no Aramco comment, and Damietta's operational status after the 29–30 Jul drone strike remains unreported. The Red Sea and Bab al-Mandeb were described as relatively calm on 2 Aug.	CNBC / Reuters / Al Arabiya / Maritime Executive / Al Jazeera

2 · US economic shock — analysis with bond yields

The shock holds at 26/30 and the two halves of the tape have separated. On Friday, after the Singapore snapshot had closed, the US bond market set three war records in a single session: the 30Y at 5.2724%, the 10Y at 4.7347% and 5Y5Y forward inflation at 2.3597%, with MOVE up 5.93 to 83.02. Stage-4 Threshold B is satisfied on a third consecutive close and the 30Y is now 22.24 bp above the May auction stop with the quarterly refunding calendar landing this week. Over the weekend the geopolitical track went the other way: a planned US strike package was cancelled, talks were announced for today with Oman mediating, and no Tier 1 outlet reported a new strike on Iran in the window. Crude has taken that at face value — Brent front-month is \$81.56 this morning, down \$6.37 and the largest one-day fall since 25 May, helped by OPEC+ approving a final +188k b/d for September. The escalation channel is therefore, for the first time since 9 July, holding a live downgrade candidate rather than an unusable maximum. It is not taken this edition, for the same reason the US-inflation upgrade was not taken on 30 July: the evidence is one session old, the principals disagree about what was agreed, and the waterway was still being shot at while the announcement was made.

2.1 · Bond-yield transmission

3 Aug yields are intraday; the 31 Jul close is confirmed and every trigger runs off it. No channel moved. Score holds at 26/30, with the escalation downgrade now live and deliberately deferred.

(i) Treasury — held at 5, and Friday made the downgrade look further away, not closer. The 30Y closed at 5.2724% on 31 Jul, the highest of the war, 7.59 bp above my morning snapshot and 22.24 bp above the 13 May auction stop of 5.050%. The 10Y closed at 4.7347%, also a war record. Both downgrade legs now fail comprehensively: the 30Y is 27.24 bp above the 5.00% line on the close and 23.70 bp above it intraday, and MOVE at 83.02 is 8.02 pts above the 75 leg after rising 5.93 in a session. This morning gives back a few basis points across the curve — 2Y -4.6 bp, 5Y -4.6 bp, 10Y -4.1 bp, 30Y -3.5 bp — but that is a partial retracement of a 10 bp weekly move in the long end, and the curve continued to steepen through it: 2s10s at +44.6 bp is the steepest since 26 May. The character has not changed since the FOMC: a bear steepener with breakevens up and the dollar down to its lowest since 16 June. What makes this edition different from the last is the calendar. Treasury publishes its quarterly marketable borrowing estimates today and the refunding statement on Wednesday 5 August, with the 30Y refunding leg auctioning in the week of 10 August, into a long end that has just set a war high.

(ii) US inflation impulse — held at 5 (max), and confirmed rather than faded. 5Y5Y forward inflation closed at 2.3597% on 31 Jul, the highest reading of the war and a fourth consecutive close above the 2.30% trigger that fired this channel 4→5 on Friday. The upgrade taken last edition is not resting on a marginal pair of closes: the series has now printed 2.3302%, 2.3303%, 2.3597% and 2.3367% across four sessions, the last of them intraday. The 10Y breakeven has moved with it, closing at 2.2846% on 31 Jul, its highest since 3 July, and printing 2.2787% this morning — back above the 2.2569% pre-war anchor after touching it exactly a session earlier. That is a meaningful change from Friday's reading, when spot compensation sat on its anchor while only the forward was elevated: now both are above pre-war, which narrows the case that this is purely a terminal-rate story and widens the case that near-term inflation compensation is rebuilding too. Note what is NOT doing the work. June core PCE, released 30 July, was +0.1% m/m against a +0.2% consensus. OPEC+ has just added barrels. Crude is \$13.44 below the \$95 trigger. Breakevens rose anyway, through a cool core print and a falling oil price, which is close to a controlled experiment in what markets think the Fed will tolerate. The downgrade — 5Y5Y sustained at or below the 2.142% anchor — is 21.8 bp away on the last close and is not in play. At 5/5 the channel can only subtract.

(iii) Oil — held at 2, and this is the channel the weekend actually moved. The last confirmed close is \$87.93 (31 Jul), \$7.07 below the \$95 upgrade trigger and \$1.05 above the Thursday close — Friday's US session bought crude back, \$1.97 above my morning print. Then the weekend happened. Brent front-month opens the week at \$81.56, down \$6.37, the largest single-session decline since 25 May and the lowest level since 10 July; WTI is \$78.42, back under \$80; the Brent-WTI spread has collapsed from \$6.44 on Friday's close to \$3.14, which says the market is unwinding a Hormuz-specific premium rather than repricing global demand. Two causes, both dated 2 August: the cancelled strike package with talks announced for today, and OPEC+ approving a final +188k b/d for September that completes the unwind of the 1.65 mb/d voluntary tranche. The counter-argument is that neither cause changes a barrel of physical supply. Effective OPEC+ spare capacity was roughly 0.17 mb/d on the IEA's July estimate, so September's increment is a quota, not a cargo. Jizan's 400k b/d is still out to mid-August. Abqaiq still shows unexplained burn scars. The strait is still closed on day ~157, still running at roughly a tenth of normal traffic, and an LNG carrier was still hit in it on 31 July. The channel stays at 2 because \$87.93 is not \$95; but the risk to that score is now genuinely two-sided for the first time since early July, and the downgrade leg — a mediated pause AND a close at or below \$72.48 — has acquired a live first condition even though the price leg is \$9.08 away.

(iv) Political — held at 4, and it is now one print from firing. AUTMUSAG backfilled 30 July at \$4.76 — the first print ABOVE the \$4.75 trigger and the highest since 10 June — after four consecutive sessions exactly on the line. Then the series went dark for 31 July and 3 August. The upgrade rule requires a sustained break, which this monitor has consistently read as two consecutive confirmed closes; there is one. The channel therefore holds at 4 with the upgrade armed rather than fired, which is exactly the position the US-inflation channel occupied on 30 July before it fired the next day. The corroborating evidence is genuinely mixed. AAA's separately published regular-grade national average was \$4.098 on 30 July against \$4.091 a week earlier, seven-tenths of a cent, which reads as a stall. But on-highway diesel rose 17.9 cents in the week to 27 July against gasoline's 9.5 cents, and on 1 August both Exxon and Chevron told the market that refining, not crude, is the binding constraint — roughly a tenth of global refining capacity is offline, Chevron's chief executive called middle distillates 'the real pain point' and expects upward pressure on product prices into the third quarter. That is a mechanism by which the pump can keep rising even as Brent falls \$6, and it is why a \$6 fall in crude this morning should not be read as taking the political channel off its trigger. No federal intervention — SPR release, export limit, waiver or gouging action — is confirmable in the window.

2.2 · What would push the shock to Stage 4

Stage 4 is a credit/auction event. Threshold B is now satisfied on three consecutive confirmed closes and the dated supply test arrives this week.

Threshold A · 13 May 30Y auction, cleared 5.050%. Historical benchmark; the 9 July re-opening cleared 5.06% with a 0.3 bp stop-through. **The 31 July close of 5.2724% is 22.24 bp above the May stop, the widest margin of the war,** up from 16.35 bp a session earlier. The supply test is no longer prospective: Treasury publishes its quarterly marketable borrowing estimates on Monday 3 August (evening Singapore time, and not yet released at this snapshot) and the refunding statement on Wednesday 5 August at 8:30am ET, with the 30Y refunding leg auctioning in the week of 10 August. The standing baseline is the 4 May projection of \$671bn privately-held net marketable borrowing for July–September against a \$950bn end-September cash balance, and the 6 May refunding held sizes at 3Y \$58bn / 10Y \$42bn / 30Y \$25bn with guidance to keep nominal coupon sizes unchanged 'for at least the next several quarters.' Any deviation from that guidance

meets a long end that has just printed a war high.

Threshold B · 30Y above 5.20% with 10Y above 4.65% — SATISFIED on three consecutive confirmed closes. 29 July: 5.2007% / 4.6773%. 30 July: 5.2135% / 4.6733%. **31 July: 5.2724% / 4.7347%, both war records.** The persistence question raised last edition has been answered in the affirmative, and answered by the widest margin yet: Friday's 30Y was 7.24 bp through its leg and the 10Y 8.47 bp through its own, against 1.35 bp and 0.33 bp on Thursday. This morning's intraday prints of 5.2370% and 4.6939% keep both legs satisfied on a fourth session. The qualification that belongs with it is unchanged: the threshold is a warning that the long end is repricing in a way that historically precedes an auction or credit event, not a Stage-4 event in itself. Stage 4 requires this to show up in a failed or heavily tailed auction, and the calendar now supplies the test within nine days. The mechanism arming it remains domestic monetary credibility, not a Hormuz headline — which is why the weekend's de-escalation moved crude \$6 and did not move the long end at all.

Threshold C · MOVE above 130. Far off, but moving the wrong way. The index closed at 83.02 on 31 July, up 5.93 on the session and the highest since 19 May. That leaves 46.98 pts to the threshold and it remains well under the 115.02 war high of 26 March, so C is not close. Two things are worth recording anyway: rates volatility has now risen in three of the last four sessions and is 9.64 pts above its pre-war level, and at 83.02 it is 8.02 pts above the 75 line that forms the second leg of the Treasury downgrade, so the same reading that keeps C remote keeps that downgrade unavailable. There is no 3 August print; the number is flagged and not carried as fresh.

2.3 · Cross-asset

The cross-asset signature has split in two, and the split is the story of this edition. The bond market spent Friday doing damage: the 30Y closed at a war-record 5.2724%, the 10Y at a war-record 4.7347%, 5Y5Y at a war-record 2.3597%, the 10Y breakeven at its highest since 3 July, MOVE up 5.93 to 83.02 and 2s10s steepening to +43.94 bp. The dollar did not rally on any of it — DXY closed 99.914 and prints 99.592 this morning, the lowest since 16 June and down 1.94 on the week. The energy complex spent the weekend doing the opposite: Brent front-month down \$6.37 to \$81.56, WTI back under \$80, TTF at €56.30 and its lowest since 16 July, Asia LNG turning lower to ¥3,440 on Friday. Equity volatility went with energy rather than with rates, VIX closing 15.99, its lowest since 15 July and nearly four points below pre-war. Two markets, two views: equities and crude are pricing a war that ends at a negotiating table in Oman, while the long end is pricing a central bank that has lost the inflation argument and a Treasury that has to fund itself on Wednesday. Henry Hub at \$2.766 remains 9.7% BELOW pre-war, so the routing signature is intact and this is still not a global-energy shock. If the talks that opened today hold, the oil channel and the escalation channel can both fall. Nothing in Oman fixes the 30-year.

3 · Shock score

Total: 26/30 — CRISIS band. Band thresholds: 0–7 watch · 8–14 stress · 15–21 systemic-risk watch · 22–30 crisis.

Channel	Score	Rationale	Triggers
Maritime denial	5/5	Held at 5 (max). Strait closed to commercial traffic, day ~157. Kpler counted 10 commodity transits on 31 Jul against a pre-war baseline above 100 a day; Windward, on an all-vessel basis, logged 5 against roughly 140 pre-crisis and 66 GPS-jammed vessels in the Gulf. Lloyd's List has inbound Gulf traffic down more than 90% and 70% of transits untraceable on AIS. An LNG carrier laden with Qatari cargo was struck in transit on 31 Jul and UKMTO logged an explosion beside a tanker off Khasab on 2 Aug. Trump says a deal would deliver 'immediate, complete and total opening'; Iran says the negotiation is about a NEW corridor with Oman and denies any deal.	↑ at max. ↓ verified reopening (escorted convoys) with traffic above 25% of normal for 10 sessions → to 3–4. A signed corridor agreement starts that clock; an announcement does not.
Oil price shock	2/5	Held at 2. Last confirmed close \$87.93 (31 Jul), \$7.07 below the \$95 trigger; intraday \$81.56, \$13.44 below it and down \$6.37 on the day — the largest single-session fall since 25 May and the lowest print since 10 Jul. Drivers are the cancelled US strike package with talks announced for 3 Aug, and the OPEC+ decision of 2 Aug to add a final 188k b/d for September. Physical supply is unchanged: effective spare capacity ~0.17 mb/d, Jizan out to mid-August, Abqaiq unexplained.	↑ Brent above \$95 sustained → to 3. ↓ mediated pause + close at/below the \$72.48 anchor → to 1. The pause leg is live for the first time since early July; the price leg is \$9.08 away.
US inflation impulse	5/5	Held at 5 (max), and confirmed. 5Y5Y closed 2.3597% on 31 Jul, the highest of the war and a FOURTH consecutive close above the 2.30% trigger that fired this channel 4→5 last edition; 2.3367% intraday. The 10Y breakeven closed 2.2846%, its highest since 3 Jul, and is back above its 2.2569% pre-war anchor. Compensation rose through a cool June core PCE, an OPEC+ supply increase and a \$6 fall in crude.	↑ at max. ↓ 5Y5Y sustained at/below the 2.142% pre-war anchor → to 4 (21.8 bp away on the last close).
Treasury stress	5/5	Held at 5 (max). The 30Y closed 5.2724% and the 10Y 4.7347% on 31 Jul, both war records ; the 30Y is 22.24 bp above the 13 May auction stop, the widest margin recorded, and MOVE rose 5.93 to 83.02, its highest since 19 May. Intraday 5.2370% / 4.6939% keeps both Stage-4 legs satisfied on a fourth session. 2s10s at +44.6 bp is the steepest since 26 May while the dollar sits at a seven-week low.	↑ at max. ↓ 30Y close under 5.00% with MOVE under 75 sustained → to 4. Both legs fail by 23.70 bp and 8.02 pts.
Political stress	4/5	Held at 4 — but ARMED. AUTMUSAG backfired 30 Jul at \$4.76, the first print above the \$4.75 trigger and the highest since 10 Jun , after four sessions exactly on the line; 31 Jul and 3 Aug are blank, flagged and not carried. One close above a trigger is not a sustained break. Diesel rose 17.9c in the week to 27 Jul against gasoline's 9.5c, and Exxon and Chevron said on 1 Aug that refining, not crude, is the binding constraint — so a falling Brent does not disarm this channel.	↑ gasoline above \$4.75 sustained (a second consecutive close) → to 5. ↓ toward the \$3.52 pre-war level → to 3.
Escalation risk	5/5	Held at 5 (max), with a live downgrade candidate for the first time since 9 Jul. Trump cancelled a strike package he called 'the biggest attack since World War II' and announced talks for 3 Aug with Oman mediating; no Tier 1 outlet reported a new strike on Iran between 31 Jul and 3 Aug. Against that: Iran denies any deal and calls the claim 'a new lie'; a Qatari-laden LNG carrier was struck on 31 Jul and UKMTO logged a blast near a tanker on 2 Aug; Kuwait intercepted Iranian drones on 31 Jul; the State Department told Americans to leave more than a dozen countries; and the Iraqi militia deadline to Baghdad is still pending.	↑ at max. ↓ mediated stand-down + talks resume → to 4–3. Requires the talks to convene AND hold, with no new strikes, across a sustained window — not an announcement.
TOTAL	26/30	CRISIS band — UNCHANGED, the highest reading since 12 June. No channel moved, but the composition of the risk did. The bond market set three war records on Friday and Stage-4 Threshold B is satisfied on a third consecutive close going into a refunding week; the geopolitical track produced a cancelled strike package and an announced negotiation. For the first time in the war the monitor is carrying a live downgrade candidate (escalation) and a live upgrade candidate (political) at the same time. Four of six channels remain maxed, so only oil (2/5) and political (4/5) can raise the number.	

4 · What's changed since the last edition (31 Jul AM → 3 Aug AM)

Score holds at 26/30. Three war records set on the 31 Jul close. A US strike package cancelled and talks announced. OPEC+ adds September barrels. Brent breaks \$6 lower. Source: Bloomberg unless stated.

Friday's US session set three war records that the morning snapshot had missed. The 31 Jul closes: 30Y 5.2724%, 10Y 4.7347% and 5Y5Y forward inflation 2.3597% — each the highest of the war — with the 10Y breakeven at 2.2846%, its highest since 3 July, 2s10s steepening to +43.94 bp and MOVE up 5.93 to 83.02, its highest since 19 May. My Friday-morning prints were 7.59 bp, 8.16 bp and 3.68 bp below the eventual closes respectively. This is the single largest reconciliation gap in the long end the monitor has recorded. Source: Bloomberg.

Stage-4 Threshold B is satisfied on a third consecutive confirmed close, by the widest margin yet. The 31 July close cleared the 5.20% leg by 7.24 bp and the 4.65% leg by 8.47 bp, against 1.35 bp and 0.33 bp on 30 July. This morning's intraday 5.2370% / 4.6939% keeps both satisfied on a fourth session. The 30Y is now 22.24 bp above the 13 May auction stop, the widest of the war, and the dated supply test arrives this week. Source: Bloomberg.

Trump cancelled a planned strike package and announced talks beginning today, with Oman mediating. On 2 August the President said he had called off what would have been 'the biggest attack since World War II' and announced a new round of negotiations for Monday 3 August involving Saudi Arabia, the UAE and Qatar, with no deadline set. On 1 August he had said the 'perimeters of a deal' included

'immediate, complete and total opening of the Hormuz Strait' and an end to Iran's nuclear threat. Saudi Crown Prince Mohammed bin Salman phoned him urging de-escalation. No Tier 1 outlet reported a new CENTCOM or Israeli strike on Iran between 31 July and 3 August. Source: Al Jazeera / Bloomberg / France 24 / ABC News / CNN.

Iran rejected the framing and described a different negotiation entirely. Tehran denied asking for the pause and denied any Hormuz agreement, calling it 'a new lie.' Araghchi said talks with OMAN are 'on the way to being finalised' and spokesman Baghaei said the two sides expect to agree a NEW route, neither the existing northern nor the southern corridor. President Pezeshkian on 3 August urged Washington to remain committed to the June MoU. The gap between 'immediate, complete and total opening' and 'a new corridor co-managed with Oman' is the whole negotiation. Source: Al Jazeera / ABC News / Times of Israel.

OPEC+ approved a final +188k b/d for September and left the fourth-quarter pause out of the communiqué. Eight producers agreed on 2 August, completing the rollback of the 1.65 mb/d voluntary tranche. Sources briefed Reuters before the meeting that a Q4 pause would follow, but no such language appeared in the statement. Next meetings 6 September and 4 October. The IEA's July estimate put effective OPEC+ spare capacity at roughly 0.17 mb/d, so the increment is a quota rather than an incremental cargo. Source: CNBC / Reuters / Al Arabiya / IEA.

Brent broke \$6 lower — the largest single-session decline since 25 May. Front-month prints \$81.56 this morning against the \$87.93 close, the lowest since 10 July; WTI \$78.42; the Brent–WTI spread has halved to \$3.14, which is a Hormuz premium unwinding rather than a demand repricing. TTF fell to €56.30, its lowest since 16 July. The energy complex is trading the diplomacy; the long end did not move on it at all. Source: Bloomberg.

The waterway stayed hostile through the diplomacy. The LNG carrier Gaslog Shanghai, laden with Qatari cargo, was struck by a projectile while transiting near the western entrance off Oman on 31 July; UKMT0 logged an explosion beside a tanker 20 nm north-east of Khasab on 2 August; Kuwait intercepted hostile drones on 31 July with Iran claiming it had targeted Ahmad al-Jaber Air Base; and the State Department urged Americans to leave more than a dozen Middle East countries on 1 August. Kpler counted 10 commodity transits on 31 July. Source: Bloomberg / UKMT0 / Al Jazeera / CNN / Kpler via The National.

AUTMUSAG backfilled 30 July at \$4.76 — the first print through the political trigger. After four consecutive sessions exactly on \$4.75, the scored series printed \$4.76, its highest since 10 June. The series is then blank for 31 July and 3 August, flagged and not carried. One close above a trigger arms the upgrade; it does not fire it. The channel is now in the position US inflation occupied on 30 July. Source: Bloomberg.

The pump constraint is refining, not crude — which is why a \$6 fall in Brent may not disarm the political channel. On 1 August Exxon and Chevron both told the market that refining capacity is the binding constraint, with roughly a tenth of global capacity offline; Chevron's chief executive called middle distillates 'the real pain point' and expects upward product pressure into the third quarter. EIA has on-highway diesel up 17.9 cents in the week to 27 July against gasoline's 9.5 cents, with refinery utilisation at 97.2% and gasoline stocks 7% below the five-year average. Source: Fortune / EIA.

Correction: the Iraqi militia deadline is sourced as 7 August, not 6 August, and only at Tier 3. The 31 July edition carried a 6 August deadline from Kataib Hezbollah to the Iraqi government. On re-verification the only sourcing available is Press TV, Middle East Monitor and Shafaq News reporting the 'Iraqi Islamic Resistance' setting a 7 August deadline for Baghdad to respond to the US–Saudi strikes of 29 July. No Tier 1 outlet corroborates either the date or the attribution to Kataib Hezbollah specifically, and no new attacks on US positions in Iraq were reported in the window. The item is retained as a dated risk but demoted to Tier 3. Source: Press TV / Middle East Monitor / Shafaq News (all Tier 3).

5 · Scenario map · next 7 to 30 days

Scenario	P	Description	Market path
Return to full war	34%	Lower, and the first fall in this line since 27 Jul. A strike package described by the President himself as the largest since the Second World War was cancelled rather than launched, and no Tier 1 outlet reported a new strike on Iran across four days. The path stays modal-adjacent because nothing was signed, US and Israeli planning for a campaign against Iranian civilian energy infrastructure was reported on 1 Aug as awaiting authorisation, and the Iraqi militia deadline is still pending.	Brent \$105–140; MOVE above 90; oil to 3–4, political to 5; score 28–30.
Deal collapse — talks stall on terms	27%	Higher, and now the modal path. There are finally talks to collapse. The two sides have stated incompatible objectives in public: Washington describes 'immediate, complete and total opening' of the strait, Tehran describes a new co-managed corridor with Oman and denies any deal exists. No deadline has been set and the IMO has no standing over either routing plan.	Brent \$92–108; oil to 3; 30Y sustained above 5.20% with the 10Y above 4.65%, i.e. Stage-4 B persisting; score 27–28.
Contained but violent — blockaded stalemate	15%	Higher. The strait stays shut and dangerous — an LNG carrier hit on 31 Jul, a blast beside a tanker on 2 Aug — while the strike tempo falls and the parties talk past each other. This is the path where the score sits at 26 for weeks because both event channels are pinned at 5 and neither market channel is triggered.	Brent \$78–92; MOVE 78–88; risk premium \$6–18/bbl; score holds 26.
Mediated pause — the ceasefire sticks	12%	Higher, and materially so: this is the largest single shift in the map since the June MoU. A cancelled strike package, a Saudi royal intervention, Pakistani and Qatari intermediaries, and Iran–Oman corridor talks described by Araghchi as near-final are the most substantive de-escalation inputs since early July. It stays a minority path because Iran denies the American account of it.	Brent \$72–84; MOVE under 75; escalation→4 then 3, maritime→3–4 on verified traffic; score falls toward 20–22.
Regional relapse — Gulf energy infrastructure hit	12%	Lower. The immediate strike wave was called off and the Red Sea and Bab al-Mandeb were described as relatively calm on 2 Aug. The underlying exposure is unchanged: Jizan out to mid-August, Abqaiq burn scars on four of six spheroids with no Aramco comment, Damietta status unreported, effective spare capacity ~0.17 mb/d.	Brent \$150+; emergency policy response; HY spreads above 500 bp; score 29–30.

Probability shifts from the 31 Jul edition: full war –7 (41→34) on the cancelled strike package and four days without a Tier 1-confirmed strike; mediated pause +5 (7→12), the largest single shift since the June MoU, on the announced talks, the Saudi intervention and Araghchi's 'near-final' Oman corridor negotiation; deal collapse +3 (24→27), which now becomes the modal path because a negotiation must exist before it can fail and the two sides have stated incompatible objectives; contained-but-violent +2 (13→15) as the strike tempo falls while the strait stays shut and dangerous; regional relapse –3 (15→12) on the called-off wave and a calm Red Sea, with the underlying infrastructure exposure unchanged. Probabilities sum to 100.

6 · Watchlist · next 24 to 72 hours

Do the talks convene, and do they hold? This is the escalation channel's first live downgrade since 9 July. The downgrade requires a mediated stand-down AND talks resuming, sustained. An announcement is not a stand-down. The specific things to verify: that a session actually took place on 3 August; that Oman confirms it as mediator; that Iran stops calling the American account 'a new lie'; and that no new strike is reported. If those hold for several sessions the channel moves 5→4, which would be the first downgrade of any channel since the oil move of 3 July and would take the score to 25.

Treasury's borrowing estimates tonight and the refunding statement on Wednesday, into a war-high long end. The 31 July 30Y close of 5.2724% is 22.24 bp above the 13 May auction stop. Treasury's quarterly marketable borrowing estimates are due 3 August US time and the refunding statement on 5 August at 8:30am ET, against the 4 May baseline of \$671bn for July–September and the 6 May guidance to hold coupon sizes at 3Y \$58bn / 10Y \$42bn / 30Y \$25bn. An increase, or any softening of that guidance, meets a market that has just repriced 10 bp in a week. The 30Y refunding leg auctions in the week of 10 August.

AUTMUSAG's next print — one more close above \$4.75 fires political to 5 and the score to 27. The scored series printed \$4.76 on 30 July, its first reading through the trigger, then went blank for two sessions. A second consecutive confirmed close above \$4.75 is the sustained break the rule requires. Note that Brent falling \$6 does not settle this: the pass-through constraint is refining capacity, diesel is running ahead of gasoline, and the DOE weekly print due 3 August will corroborate or contradict.

Whether crude's \$6 break holds, or reverses the way the 29 July bounce did. Brent fell \$3.79 on 28 July and rallied \$6.01 the next day. The market has been trading each headline in full and reversing it within 48 hours. The upgrade trigger is \$95, \$13.44 above this morning's print; the downgrade needs \$72.48, \$9.08 below it. Neither is close, but the distance to the downgrade is now the shortest of the war and its first condition — a mediated pause — has stopped being hypothetical.

The dated calendar: payrolls 7 August, CPI 12 August, the 30Y auction the week of 10 August, and the Iraqi militia deadline. July payrolls land on 7 August and July CPI on 12 August, both before the 15–16 September FOMC where CME FedWatch had roughly 61% odds on a HIKE as of 29 July. The Iraqi deadline to Baghdad over the 29 July US–Saudi strikes is reported as 7 August, but only by Press TV, Middle East Monitor and Shafaq News; no Tier 1 outlet corroborates it and the 31 July edition's 6 August date is corrected here.

Two data series to re-verify fresh, and one to watch for a second week of blackout. JGLA (Asia LNG) has no 3 August print and closed lower at ¥3,440 on Friday, its first decline in three sessions; it is never carried forward. AUTMUSAG is blank for two sessions. SOFR is now

blank for two sessions as well, having last printed 3.65 on 30 July — a new gap, and the third series in this extract running dark at once.

7 · Source log · this edition

Tier 1 — primary market data. Bloomberg Terminal extract (US Iran BBG Data.xlsx, 152 data rows × 99 columns, restated front-month continuation series). Tickers: CO2/CL2 Comdty (front-month; last confirmed close \$87.93 / \$81.49 on 31 Jul, intraday \$81.56 / \$78.42 with a Brent high of 82.05 and low of 79.83); COA/CLA Comdty (active, unscored — \$84.12 / \$80.77, the September Brent contract having expired on 31 Jul); NGA (\$2.766), TZTA (€56.300) and JGLA (¥3,440 on the 31 Jul close, down ¥87; no 3 Aug print, flagged not carried); USGG2YR/5YR/10YR/20YR/30YR (30Y closed 5.2724% and 10Y 4.7347% on 31 Jul, both war records; 5.2370% / 4.6939% intraday); USYC2Y10 (+44.621, steepest since 26 May); USGGBE10 (2.2846 close, highest since 3 Jul; 2.2787 intraday); USGG5Y5Y (2.3597 close, war record and a fourth consecutive close above the 2.30% trigger; 2.3367 intraday); SOFRRATE (blank 31 Jul and 3 Aug; last print 3.65 on 30 Jul, flagged not carried); MOVE (83.02 on the 31 Jul close, +5.93 and the highest since 19 May; no 3 Aug print) and VIX (15.99, lowest since 15 Jul; no 3 Aug print); DXY (99.914 close, 99.592 intraday, lowest since 16 Jun); AUTMUSAG (AAA all-grades pump — score reference; \$4.76 on 30 Jul, the first print above the \$4.75 trigger and the highest since 10 Jun, with 31 Jul and 3 Aug blank) and USFRUSA (DOE regular spot, weekly — corroboration; \$4.096 for the week of 27 Jul, the 3 Aug print not yet in the extract). **Data-integrity note:** the stale-row check clears. The 31 Jul row has refreshed and differs materially from the intraday values published for it (Brent \$87.93 against \$85.96; 30Y 5.2724% against 5.1965%; MOVE 83.02 against a carried 77.09), so it is a true close and every trigger test in this edition runs off it. Three series are dark: JGLA, AUTMUSAG and now SOFR. The 27 Feb 2026 anchor was re-verified field by field and is unchanged.

Tier 1 — news and institutional. Al Jazeera, Bloomberg, France 24, ABC News and CNN (Trump's 2 Aug statement that he cancelled 'the biggest attack since World War II' and announced talks for 3 Aug with Oman mediating and no deadline set; his 1 Aug 'perimeters of a deal' including 'immediate, complete and total opening of the Hormuz Strait'; the Saudi Crown Prince's call urging de-escalation; the State Department advisory to leave more than a dozen Middle East countries); Al Jazeera and ABC News (Araghchi's 'on the way to being finalised' Oman talks, spokesman Baghaei on a NEW route acceptable to both sides, Tehran's denial of any deal as 'a new lie', and President Pezeshkian's 3 Aug call for Washington to honour the June MoU); Bloomberg via Yahoo Finance and UKMTO (the LNG carrier Gaslog Shanghai struck in transit off Oman on 31 Jul; the 2 Aug explosion reported 20 nm north-east of Khasab); Kuwait's defence ministry via Al Jazeera and CBS News (drones intercepted over Kuwait on 31 Jul); Kpler via The National (10 commodity transits on 31 Jul, 4 on 30 Jul, 15 on 29 Jul; Bab al-Mandeb 31 on 31 Jul), Windward (5 all-vessel transits and 66 GPS-jammed vessels on 31 Jul) and Lloyd's List Intelligence (39 transits in the week to 26 Jul against 82 the week before, 70% of traffic untraceable on AIS, inbound Gulf traffic down more than 90%, war-risk cover 7.5–10% of hull value); CNBC, Reuters and Al Arabiya (the 2 Aug OPEC+ decision to add 188k b/d for September, completing the 1.65 mb/d rollback, with no Q4 pause in the communiqué and next meetings on 6 Sep and 4 Oct); IEA Oil Market Report of 10 July (effective OPEC+ spare capacity ~0.17 mb/d) and the 19 March collective-action confirmation (426 mb of contributions, US share 172.2 mb); EIA Weekly Petroleum Status Report of 29 July for the week to 24 July (crude 404.5 mb and ~6% below the five-year average, gasoline 211.3 mb and 7% below, distillate ~10% below, refinery utilisation 97.2%, SPR 307.7 mb after a 3.7 mb draw) with the next release due 5 August; EIA Gasoline and Diesel Fuel Update (regular \$4.096 and on-highway diesel \$5.313 for the week to 27 July, +9.5c and +17.9c); AAA (national regular average \$4.098 on 30 July against \$4.091 a week earlier); Fortune reporting Exxon and Chevron on 1 August (refining the binding constraint, roughly a tenth of global capacity offline, middle distillates 'the real pain point'); US Treasury (the 4 May borrowing projection of \$671bn for July–September, the 6 May refunding at 3Y \$58bn / 10Y \$42bn / 30Y \$25bn with unchanged-size guidance, and the 3 and 5 August calendar); Federal Reserve (the 29 July hold at 3.50–3.75%, 9–3 with three dissents for a hike) with CME FedWatch (~61% odds on a September hike as of 29 July); Maritime Executive and Reuters via Industrial Info (Jizan offline to mid-August, Abqaiq spheroid imagery); CNBC and Al Jazeera (the 29–30 July Damietta strike, operational status since unreported); AP-NORC (64% say the war has not been worth fighting, fielded 23–27 July).

Tier 3 — state media and combatant claims (labelled). The IRGC claim of 31 July to have 'struck and stopped' two US-escorted tankers in the strait, with four more vessels reversing course, originates with IRNA and Tasnim and has no Tier 1 corroboration; it is recorded and not used. Fars reported ships stuck in the northern corridor on 2 August; Al Jazeera carried it as a Tier 3 attribution. Iranian state media reported the return to Iran of the bodies of five IRGC members killed in the 29 July US–Saudi strikes in Iraq. **Correction carried forward:** the 31 July edition reported a 6 August Kataib Hezbollah deadline to the Iraqi government; on re-verification the only available sourcing is Press TV, Middle East Monitor and Shafaq News describing the 'Iraqi Islamic Resistance' setting a 7 August deadline, with no Tier 1 corroboration of the date or of the attribution to Kataib Hezbollah specifically. The claim attributed in the 31 July edition to Gharibabadi — that the strait 'will never return to its pre-war state' — could not be corroborated by a Tier 1 outlet on re-verification, and the same line is separately attributed to Speaker Ghalibaf by other regional outlets; the substance is consistent with Tehran's stated position but the attribution is contested and it is not relied on in this edition. Al Jazeera's 1 August report that US and Israeli officials were planning a roughly two-week campaign against Iranian civilian energy infrastructure, awaiting presidential authorisation, is a single-outlet report of unnamed officials and is treated as such.

8 · On-demand update protocol

#	Step	Detail
1	Refresh the Bloomberg extract	Parse the latest dated row (3 Aug, Monday) as intraday; re-map columns via the robust scan (front-month CO2/CL2; note the DXY ticker now resolves as DXY Index in this extract). The stale-row integrity check CLEARS: the 31 Jul row has refreshed with true closes and differs materially from the intraday values published for it, so 31 Jul is a confirmed close. Three series are dark and are flagged, not carried: JGLA (no 3 Aug print; ¥3,440 on 31 Jul), AUTMUSAG (blank 31 Jul and 3 Aug; \$4.76 on 30 Jul) and SOFR (blank 31 Jul and 3 Aug; 3.65 on 30 Jul). MOVE and VIX printed for 31 Jul but not for 3 Aug.
2	Recompute deltas	d/d vs the 31 Jul close; w/w vs the close five trading sessions back (27 Jul this edition); vs-pre-war against the 27 Feb 2026 anchor, re-verified field by field and unchanged.
3	Re-evaluate the six channels	Market channels move on confirmed closes only. No channel moved; score holds at 26/30. Oil held at 2 (last close \$87.93, \$7.07 below \$95). US inflation held at 5 (5Y5Y closed 2.3597%, a war record and a fourth consecutive close above 2.30%). Treasury held at 5 (30Y 5.2724% and 10Y 4.7347%, both war records; MOVE 83.02). Political held at 4 and ARMED (AAA \$4.76 on 30 Jul, one close above the trigger, then two blanks). Maritime and escalation are event-based and both maxed; the escalation downgrade is live for the first time since 9 Jul and is deferred pending evidence that the announced talks convene and hold.
4	Reconcile against the prior edition	Friday's US session ran well ahead of the Singapore-morning snapshot in BOTH directions of the tape. My 31 Jul intraday Brent \$85.96 versus the \$87.93 close (+\$1.97); WTI \$79.88 vs \$81.49 (+\$1.61); 30Y 5.1965% vs 5.2724% (+7.59 bp); 10Y 4.6531% vs 4.7347% (+8.16 bp); 2Y 4.2354% vs 4.2912% (+5.58 bp); 2s10s +41.57 vs +43.94 bp; BE10 2.2566% vs 2.2846% (+2.80 bp); 5Y5Y 2.3229% vs 2.3597% (+3.68 bp); DXY 100.163 vs 99.914 (-0.249); MOVE a carried 77.09 vs an actual 83.02 (+5.93); VIX 17.09 vs 15.99. The long-end gaps are the largest the monitor has recorded.
5	Update scenarios and watchlist	Re-rank catalysts: whether the announced talks convene and hold replaces Threshold B persistence as the nearest live channel move; Treasury's borrowing estimates (3 Aug) and refunding statement (5 Aug) are the dated supply test, with the 30Y leg in the week of 10 Aug; AUTMUSAG's next print decides political; payrolls 7 Aug and CPI 12 Aug precede the 15–16 Sep FOMC. Full war 41→34, deal collapse 24→27 and now modal, mediated pause 7→12, contained-but-violent 13→15, regional relapse 15→12.

9 · Methodology

Shock-score scale. Six transmission channels (maritime denial, oil, US inflation impulse, Treasury stress, political stress, escalation risk), each 0–5, summed to 0–30. Bands: 0–7 watch · 8–14 stress · 15–21 systemic-risk watch · 22–30 crisis. Market channels move only on a confirmed close through a trigger; escalation-risk and maritime denial are event-based. Hysteresis: upgrades fire on a sustained break, downgrades only on a sustained reversal past a wider threshold, deliberately, to avoid whipsawing. This edition applies that rule twice and in both directions, which is unusual. Political stress printed \$4.76 on 30 July, its first reading above the \$4.75 trigger, and holds at 4 because one close is not a sustained break — the identical position the US-inflation channel occupied on 30 July before firing on 31 July. Escalation risk holds at 5 despite a cancelled US strike package and an announced negotiation, because an announcement is not a stand-down, the principals publicly disagree about what was agreed, and an LNG carrier was struck in the strait on 31 July. The precedent that governs is 25–26 June, when an oil downgrade was taken on one session's evidence and had to be reversed the next day.

Scale cap — still the governing constraint, but now cutting both ways. Maritime and escalation have been pinned at 5/5 since 10 and 9 July, and US inflation and Treasury joined them at the ceiling on 31 July and 14 July. Four of six channels are maxed, so only oil (2/5) and political stress (4/5) can raise the number — four points of range in a 30-point scale. The novelty this edition is that the cap now also hides improvement: a genuine de-escalation began over the weekend and the score could not fall either, because the escalation channel needs a sustained stand-down before it can move off its maximum. Readers should treat a flat number from here as evidence that the scale is saturated in both directions, not as evidence that nothing changed.

Data integrity this edition. The stale-row check clears. The extract's 31 July row refreshed properly and its closes differ materially from the intraday values published for it (Brent \$87.93 against \$85.96, 30Y 5.2724% against 5.1965%, 5Y5Y 2.3597% against 2.3229%), so 31 July is a confirmed close and every trigger test runs off it. Three series are currently dark and each is flagged rather than carried: JGLA has no 3 August print, AUTMUSAG is blank for 31 July and 3 August, and SOFR is blank for the same two sessions — a new gap. MOVE and VIX printed for 31 July but not for 3 August, so their readings are labelled as Friday closes throughout. The DXY series resolves under a different ticker suffix in this extract than in earlier ones and was re-mapped by the column scan rather than hardcoded. Where third-party sources disagree materially — Hormuz transit counts on different vessel universes, the Iraqi militia deadline date, the attribution of Iran's 'never return to its pre-war state' line — the disagreement is reported rather than resolved by preference, and the Bloomberg extract governs for every scored series.

Gasoline series. Political stress is scored on AUTMUSAG (AAA all-grades retail pump; pre-war \$3.52, peak \$5.18, latest confirmed print \$4.76 on 30 July — the first print above the \$4.75 trigger and the highest since 10 June — with 24, 27, 28 and 29 July all printing exactly \$4.75 and 31 July and 3 August blank). USFRUSA (DOE regular spot; pre-war ~\$2.94, peak \$4.50, latest \$4.096 for the week of 27 July) is tracked alongside as corroboration only; its next weekly print is due 3 August US time and is not yet in the extract. Neither series is re-based. AAA's separately published regular-grade national average (\$4.091 a week earlier, \$4.098 on 30 July) is used only as an external cross-read; EIA's on-highway diesel series, up 17.9 cents in the week to 27 July, is noted because the binding constraint on the pump is refining capacity rather than crude.

Pre-war anchor (27 Feb 2026 close). Brent \$72.48; WTI \$67.02; 2Y 3.375%; 5Y 3.502%; 10Y 3.938%; 30Y 4.611%; 2s10s +55.64 bp; 5Y5Y 2.142%; 10Y BE 2.257%; MOVE 73.38; VIX 19.86; DXY 97.608; gasoline (AAA) \$3.52; Henry Hub \$3.06; TTF €31.23; Asia LNG ¥1,669. (Re-verified field by field — unchanged.) Brent +12.5%, WTI +17.0%, TTF +80.3%, Asia LNG +106.1%; the 30Y (+62.6 bp), 10Y (+75.6 bp), 5Y5Y (+19.5 bp), 10Y breakeven (+2.2 bp), MOVE (+9.64) and DXY (+1.98) sit above their anchors; VIX (–3.87) and Henry Hub (–9.7%) remain below pre-war.

Intraday caveat. The latest dated row is a Singapore-AM snapshot and US hours set the close. Friday is the clearest illustration the monitor has recorded: the eventual close was \$1.97 above my Brent print and 7.59 bp above my 30Y print, with MOVE 5.93 higher than the value carried. The usual pattern is that the energy print leads and the long end lags; on Friday both ran the same way and both ran hard. Recent Brent gaps between my snapshot and the subsequent close: +\$0.60, +\$3.10, -\$1.81, -\$2.01, -\$3.32, -\$0.84, +\$1.97. CL2 remains an artifact against active CLA, and with the September Brent contract expired the front-month/active gap has widened to \$2.56 in this morning's snapshot; the scored CO2 continuation series is unaffected. Triggers are evaluated on confirmed closes; escalation-risk and maritime denial are event-based. Restated-series levels are not comparable with pre-restatement editions, though the directional analysis is continuous.